

THE PUBLIC SECTOR IN THE UNITED STATES AND GERMANY: COMPARATIVE ASPECTS IN AN EMPLOYMENT RELATIONS PERSPECTIVE

Berndt Keller[†]

I. INTRODUCTION: TWO REMARKS ON GERMAN PARAMETERS

According to its constitution, Germany is a federal and not a unitary state. The Basic Law (Grundgesetz) prescribes a detailed and clear division of public authority and tasks between the federal (Bund), state (Länder) and local/municipal level (Gemeinden). At first glance one would therefore expect, as in other federal states, such as the United States, Canada, or Australia, employment relations to be characterized by a rather decentralized structure, especially in the public sector.¹ As a matter of fact, however, collective bargaining in the public sector has always been highly centralized, even more than in the private industry. Until more recently, it took place at the national, not at the state or local levels and outcomes were valid for all three core levels.²

On the one side, there are employers' associations at federal, state, and, first of all, local level. They formed and maintained only one bargaining coalition. On the other side, since the period of reconstruction after WWII unions have followed, with few exceptions, the organizational principle of industrial unionism ("one union per industry"). One necessary institutional precondition for centralized forms of bargaining is the existence of industrial unions or at least the existence and prevalence of stable bargaining coalitions. Their overall number has remained small in comparison with other countries and has even decreased after some mergers in the late 1990s and early 2000s. These organizational structures on both sides consciously favored the development and existence of a system of "multiemployer bargaining" in a rather strict sense.

[†] Professor Emeritus, University of Konstanz, Department of Politics and Public Administration. Major parts of this article were written when I was a visiting professor and visiting lecturer at Cornell University during the Fall term of 2011. I would like to thank the ILR School for all kinds of support, valuable critique, and a stimulating intellectual atmosphere.

1. STRATEGIC CHOICES IN REFORMING PUBLIC SERVICE EMPLOYMENT: AN INTERNATIONAL HANDBOOK (Carlo Dell'Aragna, Giuseppe Della Rocca & Berndt Keller eds., 2001).

2. BERNDT KELLER, ARBEITSPOLITIK IM ÖFFENTLICHEN DIENST: EIN ÜBERBLICK ÜBER ARBEITSMÄRKTE UND ARBEITSBEZIEHUNGEN (2010) (Ger.).

In comparative perspective three variants of public sector regulation have to be distinguished: collective bargaining, unilateral regulation, and mixed forms.³ Germany definitely belongs to the third group of hybrids. For several decades unilateral and bilateral forms of governance have coexisted but, in empirical terms, forms of close interaction have developed over time. Organizational and collective bargaining structures are more complicated than in private industry.

For historical and legal reasons two categories of employees have to be distinguished within the highly juridified employment relations system. On the one hand, civil servants (*Beamte*) have a special public law status that includes, among others, lifelong guarantee of employment, fair and adequate compensation, and social benefits as a special obligation of the employer in exchange for permanent and loyal service of employees. Like their counterparts in other countries they are allowed to join unions and interest associations, but do not have the right to bargain collectively or to go on strike. This strict traditional prohibition refers to the collective status and, thus, to the group as a whole without any exceptions, and not, as in comparable market economies, to individual functions, specific tasks or “essential services” because of their (real or supposed) importance for large groups of consumers.

At least since the late 1960s, the appropriateness and meaningfulness of this “special service and loyalty relationship” has repeatedly been criticized and put into question. The “customary principles of officialdom of civil servants” (“*hergebrachte Grundsätze des Berufsbeamtentums*”), that have led to a “career-based model” or “merit system” have not been fundamentally changed or even abolished, but only slightly adapted to changing circumstances. There are, however, in contrast to some other countries no more recent trends toward broadening and expanding the existing range of this specific kind of traditional unilateralism.⁴

The legislature unilaterally establishes all terms and conditions of employment. The percentage of civil servants has remained relatively stable over time (at more than a third). Civil servants are mainly organized in interest associations. Their majority constitutes the about forty member organizations of the German Civil Servants Association—*Deutscher Beamtenbund (DBB)*⁵; membership in affiliates of the German Federation

3. EUROPEAN COMM'N: DIRECTORATE-GENERAL FOR EMP'T, SOC. AFFAIRS & INCLUSION, *INDUSTRIAL RELATIONS IN EUROPE 2012*; FRANZ TRAXLER, SABINE BLASCHKE & BERNHARD KITTEL, *NATIONAL LABOUR RELATIONS IN INTERNATIONALIZED MARKETS: A COMPARATIVE STUDY OF INSTITUTIONS, CHANGE, AND PERFORMANCE* (2001); Marick F. Masters, Ray Gibney, Iryna Shevchuk & Tom Zagenczyk, *The State As Employer*, in *THE SAGE HANDBOOK OF INDUSTRIAL RELATIONS* 305 (Paul Blyton et al. eds., 2008).

4. EUROPEAN COMM'N, *supra* note 3.

5. DBB BEAMTENBUND UND TARIFUNION, <http://www.dbb.de/> (last visited Dec. 4, 2012) (Ger.).

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 417

of Trade Unions—Deutscher Gewerkschaftsbund (DGB) unions also exist.⁶ Unions and interest organizations should be explicitly distinguished. The latter have no right to collective bargaining and are not allowed and do not go on strike. Interest organizations have rights to hearings and consultation procedures, legally provided and guaranteed in different Civil Service Laws (*Beamtengesetze*), before unilateral decisions are made. Furthermore, they can (more or less successfully) engage in lobbying and use other informal forms and channels of interest representation, such as political action. Therefore, there are—at least some striking—similarities with the U.S. approach to “meet and confer about terms and conditions of employment,” but not to bargain collectively.⁷ In a purely legal perspective there are also (some) parallel arguments reminding us of the traditional concept of “sovereignty” frequently discussed in the U.S. context.⁸

On the other hand, there are public sector employees (*Tarifbedienstete*) whose terms and conditions of employment are regulated by civil law. Their rights are, in clear contrast to existing forms of regulation in the United States, exactly the same as for all employees in private industry. These legal provisions differ neither between groups of employees nor across levels of government (federal, state, and local). The freedom of association is considered to constitute an indispensable right guaranteed by the Constitution and not only by laws and statutes. It includes the unrestricted right to collective bargaining and the option to go on strike. The Collective Agreement Act (*Tarifvertragsgesetz*) guarantees for “both sides of industry” the principle of bargaining autonomy and excludes all possible forms of direct government intervention (such as wage control, wage restraint, or back-to-work legislation).⁹

In contrast to the United States, public sector unions’ rights to exclusive representation and collective bargaining have a longer history and date back at least to the early years of the Weimar Republic in the 1920s and not only to the 1960s and early 1970s. The rapid growth of public sector employment relations in the United States in this period had no parallel in Germany. During the period of reconstruction after WWII these rights were reinstitutionalized and even enshrined in the Constitution. Specific regulations for certification and decertification of individual unions do not exist; their legal status has never been put seriously into question. In contrast to the United States, the federal level constitutes no exception from

6. DGB, <http://www.dgb.de/> (last visited Dec. 4, 2012) (Ger.).

7. For a quantitative overview see JOEL CUTCHER-GERSHENFELD & SAUL RUBINSTEIN, *INNOVATION AND TRANSFORMATION IN PUBLIC SECTOR EMPLOYMENT RELATIONS: FUTURE PROSPECTS ON A CONTESTED TERRAIN* (2012).

8. HARRY H. WELLINGTON & RALPH K. WINTER, JR., *THE UNIONS AND THE CITIES: STUDIES OF UNIONISM IN GOVERNMENT* (1971).

9. *Tarifvertragsgesetz* [TVG] [Collective Agreement Act], Apr. 9, 1949 (Ger.).

this general rule. Furthermore, detailed and complex, varying statutory frameworks at state level do not exist. Last but not least, the legal distinctions between comprehensive, narrow, and prohibitive bargaining subjects are of no relevance.

The most important public sector union is the Vereinte Dienstleistungsgewerkschaft (ver.di), which stands for the United Services Union and is the second biggest DGB affiliate (with at present about 2.1 million members).¹⁰ Ver.di was founded in 2001 as the result of a merger of five formerly independent unions, and it organizes in the public as well as the private sector.¹¹ Furthermore, there are also some significantly smaller, functionally specialized DGB affiliates, among others for policemen (Police Union—Gewerkschaft der Polizei) and education, mainly teachers (Union for Education and Science—Gewerkschaft Erziehung und Wissenschaft). A minority of public sector employees are organized in DBB affiliates.

DGB is the general federation, DBB a specialized one that has traditionally organized exclusively in the public sector, but covers nowadays some privatized parts of the former public sector. More recently, traditional lines of strict demarcation have been blurred; some DBB affiliates have extended their organizational domains and have successfully tried to organize noncivil servants. Formerly, political differences and ideological rivalry between these two competing peak associations dominated. Nowadays, they are less pronounced and less important than they used to be for several decades in the post-WWII period. Both federations manage to define common positions in everyday politics vis-à-vis public employers and their associations. In other words, traditional organizational pluralism and competition continue to exist, but are of less importance than they used to be in the past.

Interest organizations are not directly engaged in activities of electoral policies. Traditionally, the DGB supported the Social Democratic Party (SPD) more or less unanimously whereas the DBB had more ideological affiliations with the conservative spectrum, first of all the Christian Democratic Party (CDU). More recently, these clear lines of demarcation gradually disappeared and unions have been more reluctant to publicly support political parties. It remains to be seen if the seriously troubled relationship between the DGB and the SPD will improve in the foreseeable future. Currently there are no financial contributions to election campaigns. At local level there are (more or less official) political affiliations.

10. VER.DI, <http://www.verdi.de/> (last visited Dec. 4, 2012).

11. Berndt Keller, *Union Formation Through Merger: The Case of Ver.di in Germany*, 43 BRIT. J. INDUS. REL. 209 (2005).

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 419

II. CODETERMINATION AS A MEANS OF INDUSTRIAL
DEMOCRACY AND CONFLICT RESOLUTION

Germany is well known for its “dual” system of employment relations that is characterized, in contrast to “monistic” systems, by complementary legal regulations at company and industry levels.¹² At the enterprise level, management and works councils must strictly obey the fundamental principle of “trustful cooperation” (“vertrauensvolle Zusammenarbeit”) and are by no means allowed to go on strike whereas, at sectoral level, employers’ organizations and unions bargain collectively. In purely legal terms, institutions and procedures of interest representation at both levels are strictly independent from each other; in empirical terms, there are, however, striking interdependencies. Comparable “dual” structures of interest representation, as in private industry, also exist in the public sector, although partially on a separate legal base. The distinction within the legal frame of reference is not between private industry and the public sector, but within the public sector.

As far as the enterprise level is concerned Germany has traditionally been well known for its elaborate system of codetermination (Mitbestimmung). These rules of information, consultation, and strict codetermination at company level refer exclusively to private industry. In the public sector there are less well-known functional equivalents that establish a similar system of social partnership. Already in the mid-1950s, special Staff Representation Acts (Personalvertretungsgesetze) were introduced, first, at federal and, later on, at state level.¹³ Since then they have been in existence with some adaptations especially at state level, since the mid-1970s.¹⁴ In the early/mid-1990s the new federal states introduced very similar laws.

As for private industry all these regulations were launched by legal enactment, not by collective bargaining. The public sector is characterized by two legal differences. In contrast to private industry, there exists no equivalent of employee representation on the supervisory board (Aufsichtsrat) because it would violate the autonomous rights of Parliament (hoheitliche Rechte) to determine the budget and to decide independently on the allocation of all public resources. Furthermore, the Works Constitution Act (Betriebsverfassungsgesetz)¹⁵ is valid for all private companies independent of their location within the country, whereas legally

12. Berndt Keller & Anja Kirsch, *Employment Relations in Germany*, in INTERNATIONAL AND COMPARATIVE EMPLOYMENT RELATIONS: GLOBALIZATION AND CHANGE 196 (Greg J. Bamber, Russell D. Lansbury & Nick Wailes eds., 5th ed. 2011).

13. Personalvertretungsgesetze [PersVG] [Staff Representation Acts] (Ger.).

14. For a summary of the most recent adaptations see Lothar Altvater, *Die Entwicklung der Landespersonalvertretungsgesetze im Jahr 2011*, 29 DER PERSONALRAT 301 (2012) (Ger.).

15. Betriebsverfassungsgesetz [BetrVG] [Works Constitution Act] (Ger.).

different Personal Staff Representation Acts exist at the level of individual states.¹⁶

The overall effect of these rather stable institutions is the constitution of a common floor of rights with significantly less differences across various bargaining units or narrow jurisdictions, specific groups of employees, or states than in the United States. In contrast to the United States, there are no major experiments with other forms of interest representation. In other words because of their legal existence and everyday practice there is, in contrast to the United States, no discussion about other strategic new forms of "labor-management partnership." These laws limit and mitigate what has frequently been called "management prerogatives" in the U.S. context.

They guarantee detailed, in comparative perspective extensive rights of "collective voice" to be exerted by elected representatives of all employees, hardly by "individual voice." These rights refer especially to social, personal, and organizational, but not to economic affairs; their intensity reaches from pure information to consultation and even to strict codetermination or "joint decision making" in selected fields of interest. Thus, their impact on the management of internal labor markets is of crucial importance. In empirical terms, coverage rates of staff councils (Personalräte) are above 90% and, thus, wide spread throughout the public sector.¹⁷ As in private industry, it is to be expected that their overall impact will even increase in times of continued decentralization of employment relations because more and more topics are to be regulated at lower level.

These rules on statutory, and not just voluntary, base constitute instruments and means of peaceful conflict resolution for literally all disputes of rights. All emerging disputes at individual and collective level are bindingly settled either by negotiations between management and staff councils at company level (Einigungsstellen) or by decisions of highly specialized courts at different levels (labor courts or Arbeitsgerichte in case of private industry and public sector employees, administrative courts, or Verwaltungsgerichte in case of civil servants).

Furthermore, strikes are exclusively legal means of interest representation as far as conflicts of interest are concerned. The so-called peace obligation (Friedenspflicht) prescribes that social partners are strictly obliged to refrain from industrial action during the duration of collective agreements. In other words, strikes are legal instruments only after the

16. [Personal Staff Representation Act] (Ger.).

17. Berndt Keller & Rainer Schnell, *On the Empirical Analysis of Staff Councils: Structural Data and Problems of Interest Representation*, 2003 WSI MITTEILUNGEN SPECIAL ISSUE 14; Berndt Keller & Rainer Schnell, *Sozialstruktur und Problemfelder der Interessenvertretung im Öffentlichen Dienst: Eine empirische Untersuchung von Personalräten in West- und Ostdeutschland*, 15 BERLINER J. FÜR SOZIOLOGIE 87 (2005) (Ger.).

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 421

expiration of collective contracts. Therefore, the number as well as the frequency of strikes has always remained limited.

This strict legal as well as factual division between the two basic forms of conflict and their resolution is of crucial importance for the understanding and the functioning of public sector employment relations. But not only the avoidance of open conflict is considered to be of importance. Another consequence is the gradual development of forms of “trustful cooperation” and working together to reach negotiated solutions in different fields of interest. In this regard of joint problem solving and trust building there are some striking similarities with some recent suggestions on the introduction of strategies for transforming the public sector in the United States.¹⁸

These laws on codetermination are considered to constitute indispensable individual and collective rights of employees. They are not related to union membership of individuals, but are valid for all employees. Therefore, a functional equivalent to the system of “nonunion governance” does not exist. Over the course of several decades, especially during the 1980s and early 1990s, there were some legal disputes at state level about the exact constitutional limits of the extent and political initiatives toward the possible extension of rights of codetermination. There is uncontested consensus that the Basic Law leaves ample room for various forms of political interpretation and maneuvering, but there are certain constitutional limits. All in all, only few legal changes were actually introduced usually after changes of political majorities at state level.¹⁹ Furthermore, these universal rights that intend to establish “industrial democracy at the workplace level” have never been fundamentally contested or threatened by management, employers’ organizations or politicians. Aggressive attempts by (conservative) politicians to seriously curtail or even to abolish this established system of “checks and balances” have not happened and are hardly conceivable in the foreseeable future.

III. COLLECTIVE BARGAINING

A. Long-Term Organizational Structures and Recent Changes

In comparison with the United States, collective bargaining in Germany has a longer history and, as far as the public sector is concerned,

18. CUTCHER-GERSHENFELD & RUBINSTEIN, *supra* note 7; THOMAS A. KOCHAN, TRANSFORMING PUBLIC SECTOR LABOR MANAGEMENT RELATIONS: A CALL TO ACTION (2011).

19. Ralf Trümner, *Die bevorstehenden Novellierungen von Personalvertretungsgesetzen*, 28 DER PERSONALRAT 302 (2011) (Ger.).

dates back even to the Weimar Republic.²⁰ As already mentioned, the legal regulation for private industry and for major parts of the public sector is the same based on the principle of bargaining autonomy (Tarifautonomie). Civil servants constitute the only exception. In contrast to the United States, private sector collective bargaining has traditionally taken place at industry and not the enterprise level.²¹ Between the mid-1960s and the mid-2000s collective bargaining in the public sector was even more centralized than in private industry and basically took place at federal, state, and local levels for all employees.²²

In comparative perspective this high degree of centralization was rather unusual, especially within the legal framework of a strictly federal polity.²³ The institutional precondition for this surprisingly stable and lasting structure was the existence of coalitions on both sides and their permanent engagement in a sector-specific form of "joint bargaining." These coalitions were not only engaged in distributional bargaining but also required more intense intra-organizational bargaining before and during negotiations.²⁴ They required encompassing horizontal as well as vertical processes of coordination and finally caused increasing difficulties.

On the employees' side, the dominating coalition ceased to exist when the ver.di merger was completed in 2001. Later on, ver.di formed a new coalition with the collective bargaining wing (Tarifflügel) of DBB.²⁵ Despite this organizational form it is obvious who the dominating partner within the coalition is. Minority unions are legally protected. For many years, ideological and political differences of interest between DGB and DBB affiliates resulted in inter-union rivalry and competition. In difficult times of severe cutbacks and retrenchments these former conflicts had to be put aside; nowadays pragmatic considerations concerning the usefulness or even the necessity of forms of closer cooperation dominate. All in all, the public sector constitutes one of the remaining strongholds of unions in times of more or less permanently decreasing membership since the early/mid-1990s. Furthermore, it has to be pointed out that the existing

20. For historical details see WILLIAM HESTON MCPHERSON, *PUBLIC EMPLOYEE RELATIONS IN WEST GERMANY* (1971).

21. Keller & Kirsch, *supra* note 12.

22. BERNDT KELLER, *ARBEITSPOLITIK DES ÖFFENTLICHEN SEKTORS* (1993) (Ger.); BERNDT KELLER, *ARBEITSBEZIEHUNGEN IM ÖFFENTLICHEN DIENST: TARIFPOLITIK DER GEWERKSCHAFTEN UND INTERESSENPOLITIK DER BEAMTENVERBÄNDE* (1983) (Ger.).

23. Lorenzo Bordogna & David Winchester, *Collective Bargaining in Western Europe*, in *STRATEGIC CHOICES IN REFORMING PUBLIC SERVICE EMPLOYMENT: AN INTERNATIONAL HANDBOOK* 48 (Carlo Dell'Aringa, Giuseppe Della Rocca & Berndt Keller eds., 2001).

24. RICHARD E. WALTON & ROBERT B. MCKERSIE, *A BEHAVIORAL THEORY OF LABOR NEGOTIATIONS: AN ANALYSIS OF A SOCIAL INTERACTION SYSTEM* (2d ed. 1991).

25. DBB BEAMTENBUND UND TARIFUNION, <http://www.dbb.de/themen/arbeitnehmer.html> (last updated Jan. 9, 2013) (Ger.).

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 423

patterns and structures of representation are more complex and segmented than in the private industry.

On the employers' side, the already mentioned encompassing bargaining coalition continued to exist despite the existence of heterogeneous, sometimes even opposing interests. These associations of public employers are, in contrast to their counterparts in private industry, not members of the national employers' confederation (Bundesvereinigung der Deutschen Arbeitgeberverbände (BDA)) but remain independent. In comparative perspective their existence constitutes an exception.²⁶ Finally, this coalition broke apart in the mid-2000s when the states finally decided to bargain independently.²⁷ The Bargaining Association of German States (Tarifgemeinschaft deutscher Länder (TdL)) terminated its long-term bargaining coalition with employers at the federal and the local level and insisted on independent negotiations. As a consequence the vast majority of states (with the exception of Hesse and, until 2011, Berlin) formed a new coalition: it bargains on their behalf and concludes specific collective agreements exclusively for the state level (Tarifvertrag für den öffentlichen Dienst der Länder (TV-L)).

It is important to realize that the proportion of public budgets to be spent on wages and benefits differs significantly between these three levels of government (federal about 11%, state about 38%, and local about 27%). These major differences are to be explained by the legally prescribed allocation of public tasks and duties. Therefore, and not for reasons of uncontrolled and permanently growing "bureaucracies," the majority of employees work at state level. Surprisingly or not, these proportions of public employment and expenses have remained relatively stable in the long run.²⁸ These figures on labor costs also explain the higher degree of stability and less concern at federal in comparison with state and local level. In times of declining revenues, local and municipal employers are in a more difficult financial position because they lack the political option to raise taxes and can only increase some fees when federal subsidies are substantially reduced. Therefore, they have frequently resorted to cuts of various services although the exact opposite, more investment in the public infrastructure, would be necessary.

B. Long-Term Consequences and Recent Organizational Changes

Like in the vast majority of comparable countries density ratios and coverage rates in Germany have always been considerably higher in the

26. EUROPEAN COMM'N, *supra* note 3.

27. KELLER, *supra* note 2.

28. Berndt Keller, *After the End of Stability: Recent Trends in the Public Sector of Germany*, 22 INT'L J. HUM. RESOURCE MGMT. 2331 (2011).

public sector than in private industry.²⁹ Both measures are highly correlated. Despite the above-mentioned major organizational changes in the 2000s coverage rates are far above 90% and, in stark contrast to private industry, have hardly deteriorated since the mid-1990s. Overall density ratios, including civil servants, are at more than 60%, and are considerably higher than in private industry (with less than 20% toward the end of the 2000s). Coverage rates are higher than density ratios because employers do not distinguish between union members and nonmembers. If so, they could in purely legal perspective create additional incentives to join a union. Therefore, existing statutory extension provisions are, in contrast to private industry, of no empirical relevance in the public sector. Furthermore, issues of union nonunion wage differentials are, in contrast to the United States, of no importance in Germany. Union security provisions, such as agency shop or dues check off clauses, do not exist.

The overall result of this specific, rather inclusive kind of “multi-employer bargaining” consisted in very similar, standardized and conditions of employment for all groups of public sector employees at various levels of government as well as in different parts of the country. These comparatively uniform terms included not only wages and salaries, but also working hours and bonuses. All corporate actors considered the so-called “unity of living and employment conditions” (“Einheitlichkeit der Lebens- und Arbeitsbedingungen”) to constitute an uncontested high political priority.

In analytical perspective we have to distinguish explicitly between centralization and coordination of collective bargaining.³⁰ Both forms have recently changed to a certain degree. The already mentioned organizational changes of former bargaining structures have led to less horizontal, but also to less vertical coordination and will be of permanent nature. The exact long-term consequences of this new institutional arrangement of less inclusive, but still “multi-employer bargaining” are difficult to predict. It will most likely lead to some heterogeneity and more “flexibility” taking the specific conditions of local and regional labor markets into regard. Furthermore, terms and conditions of employment at state level will possibly differ from those at federal and local level (among others, in wages and salaries as well as working hours).

29. EUROPEAN COMM'N: DIRECTORATE-GENERAL FOR EMP'T, SOC. AFFAIRS & INCLUSION, *INDUSTRIAL RELATIONS IN EUROPE 2010* (2011); Lorenzo Bordogna, *Moral Hazard, Transaction Costs and the Reform of Public Service Employment Relations*, 14 EUR. J. INDUS. REL. 381 (2008); Lorenzo Bordogna, *Industrial Relations in the Public Sector*, EUROPEAN INDUS. RELATIONS OBSERVATORY ONLINE (Aug. 15, 2007), <http://www.eurofound.europa.eu/eiro/studies/tn0611028s/index.htm>.

30. TRAXLER ET AL., *supra* note 3.

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 425

C. Recent Environmental Changes

Since the early/mid-2000s the economic environment and, therefore, the character of collective bargaining has distinctly changed; it is currently less “integrative” than it used to be and “attitudinal structuring” is less pronounced.³¹ The reasons were, first of all, increasing financial constraints for all public budgets. At national level growth rates were low for quite some years, structural deficits and unemployment rates remained high. At EU level the criteria of the European Monetary Union (EMU) and its accompanying stability and growth pact were supposed to be met (total sovereign debt of less than 60% of GDP, new debt of less than 3% of GDP). Conflicts have been more frequent than before, and a formerly completely unknown, sector-specific form of what has traditionally known as “concession bargaining” in the private sector since the 1980s did come about when overall economic conditions deteriorated and budgetary problems increased. Among others, in a narrowing bargaining zone “give backs” did not include wages, but various bonus payments (such as Christmas and vacation bonuses) and some (although limited) extension of weekly working hours.

Table 1: Indebtedness and Surplus/Deficit³²

Year	Total Indebtedness (in trillion €)	In % of GDP	Surplus / Deficit (-) (in billion €)	In % of GDP
1998	1.185	60.3	-42.43	-2.2
1999	1.225	60.9	-29.3	-1.5
2000	1.232	59.7	27.09	1.3
2001	1.243	58.8	-59.61	-2.8
2002	1.295	60.4	-78.32	-3.7
2003	1.384	63.9	-87.22	-4.0
2004	1.454	65.8	-83.52	-3.8
2005	1.524	68.0	-73.95	-3.3
2006	1.572	67.6	-36.83	-1.6
2007	1.579	64.9	6.55	0.3
2008	1.644	66.3	2.82	0.1
2009	1.761	73.5	-72.91	-3.0
2010	2.080	83.2	-81.63	-3.3

31. WALTON & MCKERSIE, *supra* note 24.

32. Figures relate to December 31st. Figures relate to all levels (federal, state, local level) and also include indirect bodies. EUROPEAN COMM'N, EUROSTAT, <http://epp.eurostat.ec.europa.eu/portal/page/portal/eurostat/home/> (last visited Jan. 10, 2013).

As a result, the already existing gap in overall compensation between major parts of private industry and the public sector has widened.³³ All comparisons across sectors are, of course, difficult for various methodological reasons; among others, multiple variables need to be controlled for (such as education, experience, gender). They are more frequent in the United States. In Germany, nobody is sincerely arguing in favor of the existence of a public sector “premium.” Such accusations are, however, quite frequent and popular in the United States despite the fact that they are, as recent analysis shows, obviously not justified in empirical perspective.³⁴ In both countries exactly the opposite development has taken place: public sector employees are definitely neither overpaid nor overcompensated and can hardly be classified as “rent seekers.” Compensation structures and pay inequality tend to be less dispersed in the public sector than in private industry. Professionals in higher positions are slighted underpaid in comparison with their counterparts in private industry; for low skilled groups the opposite is the case. The impact of gender on the level of compensation is lower in the public sector than in private industry.

D. Additional Developments

In the past, privatization of government operations and assets has played a certain although, in contrast to some other countries, definitely not a dominating role in Germany. In the 1990s, this strategy included, among others, the railway system (Deutsche Bahn AG) and the postal services (Deutsche Post AG) at federal level as well as public transport, hospitals, and various public utilities (Ver- und Entsorgung, among others waste disposal) at local/municipal levels. Quite frequently, the results of these politically motivated changes from monopoly to (some kind of gradually introduced) competition constitute more partial than complete privatization. From the beginning unions opposed all these initiatives with limited success. The overall results (among others, in terms of cost savings) are less convincing than originally expected by their proponents. Recently the overall pace of these measures has decreased and there are even indicators

33. DIETER VESPER, FINANZPOLITISCHE ENTWICKLUNGSTENDENZEN UND PERSPEKTIVEN DES ÖFFENTLICHEN DIENSTES IN DEUTSCHLAND, INSTITUT FÜR MAKROÖKONOMIE UND KONJUNKTURFORSCHUNG IN DER HANS-BÖCKLER-STIFTUNG (2012) (Ger.); *WSI Collective Agreement Archive*, WSI-TARIFARCHIV, http://www.boeckler.de/wsi-tarifarchiv_39335.htm (last visited Jan. 9, 2013).

34. SYLVIA A. ALLEGRETTO, KEN JACOBS & LAUREL LUCIA, INST. FOR RESEARCH ON LABOR AND EMP'T, *THE WRONG TARGET: PUBLIC SECTOR UNIONS AND STATE BUDGET DEFICITS* (2011); RICHARD KEARNEY, *LABOR RELATIONS IN THE PUBLIC SECTOR* (4th ed. 2009); Richard B. Freeman & Eunice Han, *The War Against Public Sector Collective Bargaining in the US*, 54 J. INDUS. REL. 386 (2012); Jeffrey Keefe, *Public Employee Compensation and the Efficacy of Privatization Alternatives in US State and Local Governments*, 50 BRIT. J. INDUS. REL. (2012).

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 427

for a certain “remunicipalization” of formerly privatized into reestablished public utilities.

Before these measures were executed collective bargaining in these former parts of the public sector was characterized by a specific form of “pattern bargaining” and “pattern following”: all major issues were first concluded in the main negotiations between the above mentioned dominating bargaining coalitions; then they were transferred and accepted as outcomes of the formally independent negotiations in the railway and postal services. Nowadays there are independent negotiations resulting, from the employees’ point of view, in less favorable terms and conditions of employment.

These privatization measures contributed significantly to the massive downsizing of public employment between the early 1990s and the mid/late 2000s by about one-third, especially but not exclusively in the new states in the east. In comparative perspective Germany nowadays constitutes the prototypical example of “lean government” and a “lean state” respectively. This drastic long term decrease of employment is without parallel development in other European Union member states. It remains to be seen whether the continuation or probably even a major increase of more or less encompassing measures of liberalization, partial or complete privatization and outsourcing/contracting out will constitute one major future strategy. In consideration of developments since the early 1990s it is not very likely. There seem to be certain limits as far as future retrenchments are concerned; in some subsectors, such as education and nursing homes, there is even generally acknowledged additional demand. Most recently public sector employment has not decreased, as in some comparable countries, but more or less stagnated.

In some OECD countries, since the mid/late 1990s heterogeneous concepts of new public management (NPM) have been of major importance for public sector reform and innovation.³⁵ In Germany NPM (or its specific national version of “neues Steuerungsmodell”)³⁶ has never played the dominant role.³⁷ It has had some impact especially at local level, but, all in all, Germany has definitely been a “late comer” in that regard. Future reforms are considered to be necessary, but are supposed to be implemented by other means. In the United States comparable developments are better

35. CHRISTOPHER POLLITT & GEERT BOUCKAERT, PUBLIC MANAGEMENT REFORM: A COMPARATIVE ANALYSIS (2000).

36. FRIEDER NASCHOLD & JÖRG BOGUMIL, MODERNISIERUNG DES STAATES: NEW PUBLIC MANAGEMENT IN DEUTSCHER UND INTERNATIONALER PERSPEKTIVE (2d ed. 2000).

37. For a summary see Sabine Kuhlmann, Jörg Bogumil & Stephan Grohs, *Evaluating Administrative Modernization in German Local Governments: Success or Failure of the “New Steering Model”?*, 68 PUB. ADMIN. REV. 851 (2008).

known as efforts toward “reinventing government.” Their impact seems to be of limited nature.

Table 2: Development of Public Sector Employment³⁸

Year	Federal Republic	Federal States	LABs ³⁹	2) ⁴⁰	1) ⁴¹	IPS ⁴²	Total	Δ ⁴³
1960	0.214	1.004	0.734	0.496	0.407	0.148	3.002	
1965	0.292	1.153	0.852	0.462	0.431	0.162	3.351	+1.76%
1970	0.312	1.334	0.947	0.409	0.457	0.183	3.644	+3.79%
1975	0.333	1.624	1.097	0.422	0.489	0.218	4.184	+1.60%
1980	0.330	1.823	1.200	0.341	0.501	0.227	4.420	+1.17%
1985	0.330	1.915	1.269	0.297	0.536	0.245	4.594	+0.88%
1990	0.332	1.935	1.358	0.250	0.537	0.264	4.676	+1.28%
1991	0.652	2.572	2.051	0.474	0.663	0.325	6.738	+43.03%
1992	0.625	2.531	2.074	0.434	0.642	0.352	6.657	-0.81%
1993	0.603	2.511	1.947	0.418	0.637	0.388	6.503	-1.97%
1994	0.578	2.482	1.873	0.129	0.605	0.428	6.094	-6.29%
1995	0.546	2.453	1.802	0.120	0.000	0.450	5.371	-11.86%
1996	0.533	2.430	1.739	0.112	0.000	0.463	5.276	-1.77%
1997	0.526	2.402	1.683	0.102	0.000	0.450	5.164	-2.12%
1998	0.516	2.363	1.648	0.092	0.000	0.449	5.069	-1.84%
1999	0.510	2.314	1.610	0.078	0.000	0.457	4.969	-1.97%
2000	0.598	2.391	1.572	0.074	0.000	0.488	4.909	-1.21%
2001	0.583	2.352	1.536	0.066	0.000	0.545	4.821	-1.79%
2002	0.574	2.369	1.513	0.062	0.000	0.588	4.809	-0.25%
2003	0.573	2.373	1.480	0.058	0.000	0.595	4.779	-0.60%
2004	0.569	2.348	1.410	0.055	0.000	0.614	4.670	-0.83%
2005	0.561	2.298	1.373	0.051	0.000	0.652	4.599	-1.52%
2006	0.555	2.287	1.358	0.050	0.000	0.678	4.576	-0.50%
2007	0.551	2.273	1.341	0.048	0.000	0.779	4.540	-0.79%
2008	0.537	2.263	1.331	0.047	0.000	0.790	4.505	-0.77%
2009	0.534	2.284	1.350	0.046	0.000	0.827	4.547	+0.93%
2010	0.530	2.317	1.355	0.045	0.000	0.844	4.586	+0.86%
2011	0.525	2.337	1.367	n/a	0.000	n/a	4.602	+0.34%

38. Figures are in million and refer to June 30th of the corresponding year. Until 1990: West-Germany. From 1991: Germany. From 2000: Change in concept of calculating indirect public service. Rounding-off differences are possible. STATISTISCHES BUNDESAMT, FACHSERIE 14 Reihe 6, several volumes (ger.).

39. Local Authorities and Bodies.

40. Federal Railways. From 1994: Federal Rail Funds.

41. Federal Mail. From 1995: no longer public service due to privatization.

42. Indirect public services.

43. Change compared to last year.

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 429

In 2005, after negotiations and as the result of specific attempts of “interest-based” or “win-win bargaining,” social partners signed a new collective contract (Tarifvertrag für den öffentlichen Dienst - TVöD). It is supposed to constitute “a centennial reform” and a “milestone” toward the urgently necessary modernization of the public sector. The Bundes-Angestellentarifvertrag (BAT) established in the early 1960s was valid for all public employees at all three levels. In contrast to its long-term predecessor, the TVöD is valid for the local and the federal, but not for the state level because of the indicated changes of bargaining coalitions. All in all, implementation processes of TVöD take much longer than expected.⁴⁴ Despite these changes occupational variation remains rather limited.

The major ingredients are as follows. All traditional legal differences between blue-collar and white-collar workers (Arbeiter and Angestellte) finally turned out to be less important than in the past and were abolished. Furthermore, the TVöD eliminated all traditional grading principles, such as length of service/seniority or marital status, and introduced unitary, identical job classification descriptions and criteria for all employees who are not civil servants (Tarifbedienstete). Last but not least, the TVöD established new rules for the introduction of performance related pay in order to reward individual or group-related performance on a temporary or permanent base. Their implementation has to cope with similar difficulties as in the majority of other countries.⁴⁵ It is quite likely that the overall significance and impact of this specific part of TVöD has been overestimated from the beginning. Local employers’ organizations are in favor of it and try to use it as a means of further modernization whereas employees and their unions voice major reservations. Existing efforts of implementation are characterized by patterns of divergence.⁴⁶

IV. IMPACT ON CIVIL SERVANTS

The results of collective bargaining used to have more far reaching consequences. All substantive components were immediately and completely transferred to civil servants by unilateral decision of the Federal Parliament (Bundestag). Thus, for several decades both groups of public sector employees were treated more or less equally; their working and, therefore, living conditions developed into very similar directions despite the continued existence of the indicated differences in their legal status and

44. WERNER SCHMIDT, ANDREA MÜLLER & NELE TRITTEL, DER KONFLIKT UM DIE TARIFREFORM DES ÖFFENTLICHEN DIENSTES: VERHANDLUNGSPROZESSE UND UMSETZUNGSPRAXIS (2011) (Ger.).

45. OECD, PERFORMANCE-RELATED PAY POLICIES FOR GOVERNMENT EMPLOYEES (2005); OECD, TRENDS IN PUBLIC SECTOR PAY IN OECD COUNTRIES (1997).

46. NELE TRITTEL, WERNER SCHMIDT, ANDREA MÜLLER & THOMAS MEYER, LEISTUNGSENTGELT IN DEN KOMMUNEN: TYPOLOGIE UND ANALYSE VON DIENST- UND BETRIEBSVEREINBARUNGEN (2010) (Ger.).

rights. In other words, the prohibition of interest organizations to bargain collectively and to go on strike did not lead to major economic disadvantages of their constituency, and the relevance of the indicated legal divide between groups of employees was limited in empirical perspective. The already mentioned rights of consultation and hearings legally guaranteed to interest organizations succeeded, in combination with their encompassing lobbying activities and other informal forms of influence, to provide substitutes for their missing rights to collective bargaining and to go on strike. Surprisingly or not, they constituted, as far as their results were concerned, fairly effective and efficient, sector specific instruments of interest representation.⁴⁷

More recently, however, this strict linkage of the sector-specific kind of “pattern setting” and “pattern following” has been decoupled to a certain degree. Since the early/mid-2000s, public employers have more frequently made use of their unilateral regulatory power of decision-making. They reduced or completely abolished some benefits (among others, Christmas and vacation bonuses), extended weekly working hours, and either delayed or did not all transfer increases of wages and salaries, already agreed in collective bargaining, to all or to some groups of civil servants.

This strategic change results in a certain, formerly non-existing gap in terms and conditions of employment. Employers’ representatives have publicly argued that the legally guaranteed, life-long employment security of civil servants must lead to certain concessions in times of high unemployment, increasing deficits of public budgets and, therefore, urgent needs of fiscal consolidation. All in all, the introduced retrenchments have hit civil servants (Beamte) more than other employees whose unions prevented a complete transfer of these measures by means of collective bargaining.

One more recent transformation of potentially major importance does not result from changes in the environment of employment relations, but from more general, encompassing amendments in the overall structure of federalism (Föderalismusreform I). In the early 2000s, the traditionally established division of political power and public tasks between the federal and the state level was perceived to be outdated and in need of fundamental reform to increase its efficiency and effectiveness. One consequence of this major constitutional reform toward “competitive federalism,” that became effective in 2006, is that states now have the power to regulate their civil servants’ terms and conditions of employment by independent legislation of their own.

47. KELLER, ARBEITSPOLITIK DES ÖFFENTLICHEN SEKTORS, *supra* note 22; KELLER, ARBEITSBEZIEHUNGEN IM ÖFFENTLICHEN DIENST, *supra* note 22.

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 431

From the early 1970s until the mid-2000s the federal government had the exclusive, ultimate authority to make these decisions for civil servants at all three levels: federal, state, and local. Thus, a sector-specific form of gradual decentralization of employment relations has recently occurred. It should, however, not be called “fragmentation” and is still rather different from the situation at state level in the United States. In comparison with other federal countries mentioned in the introduction its speed and extent has been rather limited. Furthermore, it does not constitute trends toward more “unilateralism” as in some other countries, but the continuation of established general principles.

It remains to be seen if individual states will make (more or less extensive) use of their new, more encompassing options and, thus, initiate developments toward more disparate terms and conditions of employment or if they, or at least their majority, will remain and act within the traditional frame of reference. For the time being there are indicators for both trends of development. Some northern (or “costal”) states intend to form a new coalition of interest whereas major southern states prefer to act independently. (There are indicators that the portability of pension claims could be a topic in at least some states.) Anyhow, there is no automatic and immediate reaction and, at least so far, the variety of regulation remains fairly limited.

Interestingly enough, both sub-systems of employment relations that exist within the public sector for employees (Tarifbedienstete) and for civil servants (Beamte) tend to move, although for different reasons, into the similar new direction toward some decentralization and more heterogeneity of employment conditions. In both cases, however, one has to keep in mind that, in comparative perspective, these changes have not been caused by the recent financial and debt crisis, but were initiated for other reasons before the crisis hit the economy.

V. STRIKES AND IMPASSE PROCEDURES

A. *Strikes*

In contrast to other major parts of the employment relations system there is no coherent legal regulation of strikes. All existing rules and principles are the results of individual decisions by high level courts (so called “judge-made law” by the Federal Labor Court or the Constitutional Court) and are valid for private industry as well as the public sector.

The number, frequency, and impact of public sector strikes have always been very low despite the fact that the majority of employees have the legally guaranteed right to go on strike. So far Germany experienced

only three major strikes after WWII (1974, 1994, and 2006). They all took place at local level because of the greater strike sensitivity of public employers and the immediate vulnerability of large consumer groups.⁴⁸ The first ones were very short, lasted only a couple of days and were mainly performed, as one would expect from experience in comparative perspective, at local level by garbage collectors and employees of public transport systems. The last one, however, consisted of a rolling series of temporary strikes, continued for several months and included some new groups, among others, employees in preschool education (Kindergarten).

The reason for this change in composition was that privatization of services at local level undermined the former strategy to rely (more or less exclusively) on the traditional core groups. Furthermore, more recently short semi-strikes in hospitals were organized by Marburger Bund. This professional association of doctors that does not belong to one of the above mentioned federations managed gradually to gain its factual recognition as an independent corporate actor within the system of collective bargaining.⁴⁹

The main reasons for this comparatively low overall number of strikes and the existence of a “nonadversarial” system of collective bargaining are among others:

- Centralized bargaining systems tend to be characterized by fewer strikes than decentralized ones.
- Some potential reasons for conflict, such as complicated procedural rules for the official recognition of unions, do not exist.
- The explicit distinction of conflicts of rights and conflict of interest, mentioned above, strictly prevents industrial unrest concerning all conflicts of rights.
- Last but not least, civil servants, who are allowed to join unions or interest organizations but not to bargain collectively or to go on strike, have hardly ever violated their severe restrictions of collective action.

Short, so-called warning strikes (Warnstreiks) are more frequent than regular strikes and take place mainly when collective bargaining rounds are launched. Occasionally, also demonstrations by public sector employees have happened. There exist special bilateral voluntary arrangements for coping with cases of emergency (Notdienstvereinbarungen). Among others, in hospitals patient safety has always been a high priority.

In purely legal terms, lockouts of noncivil servant employees (Tarifbedienstete) would be possible. In empirical terms, however, they have never happened and are of no actual importance. They would only

48. KELLER, *supra* note 2.

49. See Berndt Keller, *Berufsverbände, Tarifautonomie und das System der Interessenvertretung*, 36 LEVIATHAN: BERLINER ZEITSCHRIFT FÜR SOZIALWISSENSCHAFT 364 (2008) (Ger.).

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 433

deteriorate the consequences of the stalemate in collective bargaining instead of improving the protracted situation. Last but not least, the protracted problem of temporary or permanent strike replacements does not exist because of legal restrictions on these measures.

In comparative perspective, Germany traditionally belongs to the group of less “strike prone” countries.⁵⁰ The public sector has always constituted an integrated part of this overall, long-term pattern. During the last decades a certain sectoral shift of strike activities (from manufacturing to services, especially to the public sector) has taken place.⁵¹ Germany is difficult to integrate into this pattern changing toward “tertiarization” because of the small overall number of public sector strikes. Any regional distribution of public sector strike is difficult to indicate because of the fairly centralized and highly integrated collective bargaining system.

The legal prohibition for civil servants to go on strike has already been mentioned; it refers, in contrast to other countries, to the large status group as a whole and not only to some functions or selected “essential services” (such as police or firefighters). In empirical perspective, so far civil servants have not (or, at least, not frequently and obviously) violated this restraining ban. For several decades some DGB affiliated unions have put this official legal view into question, but hardly neglected its existence. Recently, some administrative courts (Verwaltungsgerichte) have also argued in individual decisions that this general restriction violates basic and fundamental human rights of employees.⁵² It might be that other future judgments will confirm this changed interpretation and that there will be some additional impact from supranational decisions by European courts. No legal modifications, however, have occurred, at least so far. It remains to be seen if gradual or even major changes will take place in the long run.

B. Impasse Procedures

In contrast to other countries, among others the United States, impasse resolution procedures for conflicts of interest have never constituted an important or even controversial issue. The first mediation agreement (Schlichtungsabkommen) was only signed after the first major strike in 1974. This timing is quite remarkable because it means that a system of collective bargaining existed for several decades without accompanying formalized procedures for impasse resolution. The agreement has proven to be effective—if one takes the prevention or nonoccurrence of strikes as an

50. EUROPEAN COMM’N, *supra* note 29.

51. Kurt Vandaele, *Sustaining or Abandoning “Social Peace”? Strike Developments and Trends in Europe since the 1990s* (European Trade Union Inst., Working Paper No. 2011.05, 2011).

52. For a summary see GEWERKSCHAFT ERZIEHUNG UND WISSENSCHAFT, *Beamte und Streik*, http://gew.de/Beamte_Streik.html (last visited Dec. 10, 2012) (Ger.).

indicator of effectiveness. In contrast to this constellation, collective bargaining and impasse procedures in the United States were introduced at almost the same time.⁵³

This purely voluntary, autonomously negotiated mediation agreement has occasionally been modified and adapted to organizational changes of bargaining coalitions. In the recent past it has been utilized several times and more frequently than during its early stages. Thus, there seems to be a certain effect of “customizing” or a country-specific variant of “narcotic” effects of existing procedures.

It is important to note that there have never been legally or politically motivated plans to introduce various forms of mediation, including their specific pros and cons, or combinations of mediation, fact finding, and arbitration (among others, binding interest arbitration for specific groups of employees) as alternatives or substitutes for strikes. The discussion in the United States on short-term as well as long-term consequences of binding interest arbitration (among others, chilling effects) or specific forms (such as conventional versus final-offer, entire-package versus issue-by-issue) or hybrid combinations of arbitration and mediation have no equivalent at all in Germany where procedures of fact finding are also unknown. Furthermore, there is, in obvious contrast to the United States, no discussion regarding the institutionalization or application of forms of alternative dispute resolution (ADR). For all these indicated reasons, and the existence of the right to strike, monographs on Germany do not have to include more or less detailed chapters on pros and cons of different impasse procedures and their potential alternatives and outcomes whereas these problems constitute an integrated part in case of the United States.⁵⁴

Special administrative agencies at federal or state level focusing on the resolution of conflicts of interest, such as mediation and conciliation services, hardly exist. Last but not least, it has to be mentioned that there are only few collections of court decisions on various issues of employee representation at workplace level resulting from different, sometimes opposing, views on the administration and implementation of existing agreements.⁵⁵

53. For an encompassing international comparison of mechanisms for impasse procedures see Linda Dickens & Lorenzo Bordogna, *Public Service Dispute Management: Pertinence of Comparative Study*, 50 J. INDUS. REL. 539 (2008).

54. Among others see JOHN A. FOSSUM, *LABOR RELATIONS: DEVELOPMENT, STRUCTURE, PROCESS* (9th ed. 2005); KEARNEY, *supra* note 34.

55. LOTHAR ALTVATER ET AL., *BUNDESPERSONALVERTRETUNGSGESETZ MIT WAHLORDNUNG UND ERGÄNZENDEN VORSCHRIFTEN. KOMMENTAR FÜR DIE PRAXIS MIT VERGLEICHENDEN ANMERKUNGEN ZU DEN LANDESPERSONALVERTRETUNGSGESETZEN* (6th ed. 2008) (Ger.).

VI. SIMILARITIES AND DISSIMILARITIES
BETWEEN THE UNITED STATES AND GERMANY

A. *Some General Aspects*

In clear contrast to the comparatively homogeneous bargaining structures and resulting outcomes in Germany, highly decentralized structures (“single employer bargaining”), as they obviously dominate in the United States, lead to significantly higher degrees of heterogeneity in almost all possible, horizontal and vertical dimensions. This higher degree of fragmentation and diversity of labor law and employment relations is to be observed not only across states, but also within states for specific groups of employees and/or occupations (among others, teachers and firefighters). Because of the comparatively higher degree of centralization of collective bargaining in Germany negotiations for individual groups of employees constitute the rare exception, whereas they are the rule in the United States. Differences in terms and conditions of employment across federal states have been (and will most likely remain) smaller and less significant than in the United States.

The issue of “end run bargaining” is less important in Germany than in the United States or at least it is less obvious. Managerial authority is clearly defined and delimited and collective bargaining does not take place at the local, but at much higher levels. For exactly the same reason the concept of “multilateral bargaining” that has frequently been applied in empirical analysis in the United States can hardly be transferred to a completely different legal-institutional environment.⁵⁶ In terms of political economy public employees are also voters, but their votes are of less direct impact on employers’ decisions because these decisions are taken at a much higher than the local level. In other words, lobbying activities of public sector unions have to take place at a higher level where they compete with similar activities by other interest groups. They are, therefore, less successful than they could be at local/municipal levels where fewer countervailing powers exist. The much higher level of collective bargaining in Germany, where it takes place at national and state level, allows for the clear separation of collective bargaining and the municipal political process.

Unions’ fundamental rights to represent employees (exclusively or proportionally) and to bargain collectively “in good faith” could hardly be threatened at the level of individual states because they are guaranteed in the Constitution. In contrast to (quite a few) court decisions in the United

56. Thomas Kochan, *A Theory of Multilateral Collective Bargaining in City Governments*, 27 INDUS. & LAB. REL. REV. 525 (1974).

States, German courts would never qualify them as being unconstitutional, antidemocratic or violating the principle of sovereignty.⁵⁷ Furthermore, all rights of freedom of association are basically the same in the whole polity and do not distinguish, in contrast to the United States, across levels of government (federal, state, and local/municipal levels) or across specific groups of employees. Therefore, detailed specific statutory regulations at state level, as they exist in the United States, are not necessary, not to say superfluous.⁵⁸

The problem of official union certification and recognition as exclusive representative of specific groups of employees has traditionally been of much less importance than in the United States; ideologically driven demands to introduce annual votes of recertification as they have been put forward in some states in the United States are difficult to imagine in Germany. Specific union security arrangements do not exist and are not necessary because unions' status is legally guaranteed and politically unchallenged. On the one hand, the existing high degree of decentralization makes it more difficult for unions to develop and implement necessary coordinated strategies at state level in order to counter the attacks on societal institutions. On the other hand, this structure prevents a more or less automatic or sudden change of the overall system.

In obvious contrast to the United States, these basic rights of core institutions have never been attacked by (conservative) politicians or (some) intellectuals. From a political science (or public choice) point of view changes of political majorities at state level hardly trigger major changes in the legal framework. In contrast to some other countries, German employers' organizations and management have not tried to marginalize (the impact of) public sector unions. The argument frequently put forward in the United States that public sector unions in general and collective bargaining in particular could unduly distort government decisions in favor of their specific constituency has been of no importance whatsoever. Quite the contrary is the case—these organizations and institutions are unanimously considered to constitute integral parts of the democratic system and its embedded political processes. Major restrictions of their rights, such as limitations of the scope of bargaining of individual or all groups of employees, would be unconstitutional. Last but not least it has to be repeated that the existing, above-mentioned unilateralism in decision making for civil servants has a long tradition and is definitely not the result of more recent, politically motivated changes.

57. For a recent summary see Martin Malin, *The Paradox of Public Sector Labor Law*, 84 IND. L.J. 1369 (2009).

58. For a summary see FOSSUM, *supra* note 54, at 467–75.

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 437

During the present crisis problems of coping with rapidly increasing public debts have been considered to be of urgent necessity but have to be solved by other means, first of all, not to say exclusively, by collective bargaining, possibly including new forms of public sector-specific “concession bargaining,” but definitely not by legally introducing restrictions of established union rights. These two principal approaches, making either use of established means of collective bargaining or imposing new, politically motivated far-reaching restrictions, are different in qualitative terms and should be clearly separated in all controversies about public sector policy and reform.

Basically, in Germany public policy and the overall conception of the public sector has not significantly changed as a consequence of the lasting financial crisis. In clear contrast to this comparatively stable situation are far-reaching measures in more than ten U.S. states, especially Midwestern ones led by Republican majorities (among others, Wisconsin, Indiana, and Ohio). Following the midterm election in 2010, newly elected Republican governors have initiated the complete abolishment, or at least a severe restriction of certain well established rights, especially collective bargaining rights, either for all or at least for major groups of public sector employees.⁵⁹

The indicated reasons for this elimination of established rights are that public sector unions are supposed to have caused the existing enormous budget deficits or even the recession and the financial crisis. As mentioned above, in empirical perspective public sector employees and/or their unions are not the major reason for more recent increases of public deficits. They are just scapegoats to be blamed for more fundamental problems of public budgets in general and increasing deficits in particular. Furthermore, in more recent years the public sector has definitely not grown in size or its compensation as a share of state expenditure.⁶⁰

These recently introduced legal changes challenge fundamental, long-term achievements, basic rights, and (remaining) political power of trade unions.⁶¹ These intense attacks can be accompanied by slashes of the public sector work force. In (at least continental or western) European perspective these rollbacks of major existing regulation are indicators of a specific new variant of traditional “American exceptionalism.” These unprecedented assaults against established social institutions are more driven by the ideology of the Tea Party movement and its radical corporate agenda than by facts and empirical data. Even in the United Kingdom there are “only”

59. For details see Freeman & Han, *supra* note 34.

60. ALLEGRETTO ET AL., *supra* note 34 (referring to the United States); KELLER, *supra* note 2 (referring to Germany).

61. Lee Adler, Otto Jacobi & Lowell Turner, *Anti-Union Ideology or Something More: The Attack on Collective Bargaining in the USA*, 17 TRANSFER: EUR. REV. LAB. & RES. 403 (2011).

severe austerity programs, but no announcements of threats to curtail or even break collective bargaining rights. The present situation in Canada, probably the most appropriate country for international comparisons, also seems to be rather different from the United States.

Furthermore, recent elections show that this extreme agenda is not even in line with preferences of the majority of voters. In some cases unions have been able to overturn legislation. It remains to be seen if these developments and activities create a certain message for politicians. Nevertheless some states, such as Indiana, seem to follow a broader strategy and intend to focus not exclusively on the public sector, but also on collective bargaining and union rights in private industry.

The always provoking argument of a “distortion” of the political process due to the existence of public sector unions and collective bargaining dates back to the late 1960s and has been frequently discussed in the existing literature. It still constitutes the most prominent source of reference for this specific view and interpretation of democracy dominated by competing interest groups.⁶² Interestingly enough, it has never been put forward in Germany where comparatively “cooperative” employment relations have always constituted the rule. There is general consensus that the financial crisis has to be solved in the foreseeable future, but that this urgent task has to be done within the existing legal frame of rules and social institutions. There are, at least currently, no efforts by conservative politicians to implement a hidden political agenda and/or to change the existing set of labor laws toward more deregulation. Antigovernment rhetoric and, therefore, anti-public sector sentiments are wide spread and public complaints in the media by politicians or political commentators about the performance of specific groups of employees and/or their unions, such as teachers, are rare in comparison with some other countries.⁶³ There is no parallel to the “war against public sector collective bargaining in the US.”⁶⁴

Interestingly enough, there have been public disputes about long-term shortcomings of the education system. Within the federal system, states and not municipalities are in charge of education in a broadly defined sense including science; the federal government has hardly any impact at all. One frequent point of criticism has been that Germany spends less on education than the other OECD member states on average and reaches only low scores in comparative international evaluation studies. The focus of this lasting controversy is on more or less fundamental legal-institutional reforms and

62. WELLINGTON & WINTER, *supra* note 8.

63. For an illustrating U.S. case study see LEE ADLER, MEETING THE RIGHT'S ATTACK ON PUBLIC SECTOR UNIONS IN THE US: ARE THERE EFFECTIVE STRATEGIES? (2011).

64. Freeman & Han, *supra* note 34, at 386.

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 439

major organizational changes of the comprehensive, highly segregated system of public schools that requires basic decisions about the individual future education to be made already at students' age of ten.

The political discourse does not, however, contrary to the United States, focus on the individual performance, pay or pension level of teachers, the implementation of standardized, rigorous evaluation procedures with valid test scores, and their potential impact on future improvements.⁶⁵ Teachers' unions are also not blamed as being major causes of the growing crisis in education. More recently some school closures have been announced because of increasing demographic changes. These plans have met vital opposition at local level. Massive layoffs of teachers or other employees such as supportive staff have not happened or at least not so far; there will even be a lack of teachers in the foreseeable future because of the size of ageing cohorts. The existence and legal rights of unions and interest organizations have not been put into question; in this regard education has not turned into another "contested terrain" as it has in the United States.

B. Selected Examples

The legal-institutional framework of the polity explains major factual differences between public sector employment relations in both countries. Two prominent examples are the following.

The first concerns the degree of centralization. Within a highly centralized and coordinated, non-fragmented system of employment relations the definition of bargaining units, including the identification of the employer within preexisting systems of divided authority and shared power as well as the authorization of bargaining representatives, does not create major difficulties. It does, therefore, not constitute a potential cause for industrial unrest and limits management agency costs. Problems of bargaining units' exclusiveness or inclusiveness hardly exist. Furthermore, the scope of bargaining does not vary significantly across levels of government (federal, state, and local/municipal), separate jurisdictions and/or individual groups of employees because it is legally fixed and hardly subject to negotiated changes.

Competition across more or less clearly defined bargaining units and separate jurisdictions is less pronounced than in the opposite case of strictly decentralized systems. All unions' attempts to broaden as well as managements' attempts to reduce or to minimize this scope by means of collective bargaining would be futile. Furthermore, the explicit distinction of mandatory, permissible, and prohibited topics for bargaining, well

65. CUTCHER-GERSHENFELD & RUBINSTEIN, *supra* note 7.

known in a significant number of jurisdictions in the United States, is not at the discretion of bargaining parties. Therefore, tactical maneuvering in either direction, toward narrowing or broadening the scope of bargaining, does not happen. Individual unions' initiatives at local level to act as pressure/interest groups and/or to negotiate better working conditions, such as higher salaries or pensions, for individual groups, such as firefighters or police, would not make sense because these decisions are not made at the local/municipal level.

In legal-institutional perspective the potential scope of bargaining differs to a significant degree between both countries. Among others, certain issues are completely excluded from collective bargaining in Germany and can, therefore, not constitute a controversial topic in individual bargaining rounds. The organization of all social security systems in a fairly well developed welfare state (first of all, unemployment insurance, but also universal health care for employees as well as pensions) is completely separated from collective bargaining and, therefore, beyond social partners' range of rights and direct influence. Within the coordinated market economy all these issues are exclusively subject to political decision making by the Federal Parliament (Bundestag) and not issues of collective bargaining.

This comparatively extensive role of the state in different social policy areas leads to the consequence that there remain fewer conflict-ridden objects for collective bargaining; by definition, industrial unrest about these issues cannot take place. If certain social protection regulations are supposed to be revised, such as pensions for reasons of sustainability in times of changing demographic dependency ratios and longer life expectancy, new arrangements are to be discussed and initiated in the political sphere, not in collective bargaining. Mass demonstrations, but definitely not strikes could attempt to exert some influence on the results. In contrast to some states in the United States, the option of statewide referenda hardly exists. Therefore, existing laws could not be put to a vote in individual states in order to prevent a potential political rollback.

Our second example refers to public sector employment relations in a broader sense. Recently, direct cuts of pension schemes have not taken place in Germany. In the long term and under the circumstances of deteriorating public budgets, however, there have been gradual adjustments toward the conditions valid for all employees in private industry. These adjustments, or more precisely scale backs, refer to the level of pensions as well as to the age of retirement. The latter will be gradually raised (2012–2029) from sixty-five to sixty-seven years for all employees in private industry as well as in the public sector including all Beamte. In cases of voluntary early retirement certain deductions have to be accepted. Within

2013] PUBLIC SECTOR IN UNITED STATES AND GERMANY 441

the centralized system of employment relations pensions are fairly standardized and do not differ between municipalities or states.

One has to keep in mind that there are, because of the existence of different legal employment status, two separate pension systems, one for public sector employees, and the other for civil servants. Like their counterparts in private industry employees pay direct, individual contributions to the universal pension fund (Rentenversicherung) and earn certain entitlements corresponding to the amount and the length of their payments. Civil servants do not pay individual contributions due to their employers' obligations resulting from their special legal status. Or at least they do not directly contribute, if their somewhat lower salaries are not taken into account. Since the late 1990s, a small percentage of wage increases (0.2%) reached as the result of collective bargaining has been deducted from the corresponding increases for civil servants.⁶⁶ Furthermore, formerly existing seniority rights corresponding with the length of service have been curtailed.

Public sector employment relations in the United States have traditionally been more diverse and fragmented in terms of regulations, corporate actors, bargaining structures, existing procedures, and also outcomes than in Germany.⁶⁷ Among others, "multi-employer bargaining" has always constituted the rule in Germany, but has been a rather rare exception in the United States. At least after the end of some decades of relatively stable employment relations, this enormous degree of diversity and fragmentation leads to more difficulties at certain (especially state) levels and across levels of government, especially at state and local or municipal levels. Furthermore, centralized systems are characterized by higher coverage rates.

In employment relations terms, the management of highly decentralized, less coherent and noncomprehensive systems seems to be more complicated and leads to higher transaction costs. This is the case for ex ante (among others, information and bargaining) as well as ex post (among others, implementation, supervision, and adaptation) costs.⁶⁸ From a macro point of view one could argue that centralized systems are advantageous and not merely convenient in administrative regard because they result in lower transaction costs. Desirable changes are, of course, difficult to introduce.

66. Gesetz zur Umsetzung des Versorgungsberichts (Versorgungsreformgesetz 1988 - VreformG), 1998, BGBl. 1 S. at 1106 (Ger.).

67. Berndt Keller, *Public Sector Labor Relations in West Germany*, 17 INDUS. REL. J. ECON. & SOC'Y 18 (1978).

68. OLIVER E. WILLIAMSON, *THE ECONOMIC INSTITUTIONS OF CAPITALISM: FIRMS, MARKETS, RELATIONAL CONTRACTING* (1985); OLIVER E. WILLIAMSON, *THE MECHANISMS OF GOVERNANCE* (1996).

VII. OUTLOOK

Whether we consider the glass to be half full or half empty depends on our selected point of departure. In comparison with their governance structures and organizational features in the past, employment relations in the German public sector have changed to a considerable degree within a remarkably short period of time. They do not, or at least not any longer, constitute a bureaucratic “iron cage.” Among others, strategies of flexibilization have led to more heterogeneous employment structures (increase in part time as well as other nonstandard forms) and some recent trends toward (organized and definitely not disorganized) forms of decentralization have occurred.⁶⁹ They have changed terms and conditions of employment of public employees as well as civil servants. Thus, currently public sector employment relations in Germany are characterized by more similarities with those in other federal states than in the past. Some gradual trends of conversion exist, but are of limited extent and should not be overestimated. In comparison with the United States, however, public sector employment relations have by all means to be regarded as changing, but remain on a relatively stable trajectory. Recent initiatives in some Midwestern states in the United States to strictly limit or even to abolish collective bargaining rights are hardly conceivable within the political context of Germany.

Or, in more theoretical terms: Germany belongs to the “Rhineland” model and is a coordinated market economy, whereas the United States constitutes the cornerstone of the “Anglo-Saxon” model of governance and capitalism and is a liberal market economy. These distinctions are well known and have been frequently disputed as far as private industry is concerned.⁷⁰ They are also valid for the public sector although this major part of the economy has been widely neglected in this ongoing discourse.

69. Franz Traxler, *Collective Bargaining in the OECD: Developments, Preconditions and Effects*, 4 EUR. J. INDUS. REL. 207 (1998).

70. MICHAEL ALBERT, *CAPITALISM AGAINST CAPITALISM* (1993); PETER A. HALL & DAVID SOSKICE, *VARIETIES OF CAPITALISM: THE INSTITUTIONAL FOUNDATIONS OF COMPARATIVE ADVANTAGE* (2001).